

PROJECT REPORT

Mrs. ANJANABEN HARSHADBHAI
VAGHANI

OFFICE & FACTORY:-
PL. NO. 9-10, AARADHANA IND. V-2,
VILLAGE. - JOLVA,
TALUKA - PALSANA,
DISTRICT - SURAT.

For ANJANABEN HARSHADBHAI VAGHANI

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Project Report

Part :I: Brief Profile of the Firm

1. Introduction:-

M/s. ANJANABEN HARSHADBHAI VAGHANI is a setting up new Textile Manufacturing unit run by Proprietor Mrs. Anjanaben Harshadbhai Vaghani. Due to the demand Jacquard Fabrics & Other Grey Fabrics Products in the market the Proprietor has decided to enhance her business with one new SHUTTLE LESS RAPIER LOOMS FOR WEAVING to her existing line of business. The Unit producing Jacquard and Other Grey Fabrics Products with new 2 pcs of Rapier Looms machines.

2. Basic Information:-

(i) Name of the Unit	: M/S ANJANABEN HARSHADBHAI VAGHANI
(ii) Constitution	: Proprietor
(iii) Address	: PL. NO. 9-10, AARADHANA IND. V-2, VILLAGE. - JOLVA, TALUKA - PALSANA, DISTRICT - SURAT.
(iv) Year Of Establishment	: 2019
(v) Activity / Business	: Textile Manufacturing
(vi) Main Machines	: Shuttle Less Rapier Looms (2 pcs)
(vii) Product	: Jacquard and Other Textile Fabric Product
(viii) Installed Capacity	: Worth Rs. 92,16,000/- per annum.(1,15,200 meters)
(ix) Capacity Utilisation	: 90% to 100%
(x) Cost of the Project	: Rs.30,62,679/-
(xi) Means of Finance	: Term Loan Rs.22,32,000/- Working Capital Loan 1,33,000/- Capital Rs.6,97,679/-
(xii) Project Turnover	: Rs. 92,16,000/- at full capacity working

3. Present Status of the Unit:-

(i) UAM No.	: GJ22A0251793
(ii) Power Connection	: Already received
(iii) Firm Registration No.	: N.A.
(iv) GST No.	: N.A.
(v) Water Connection	: Water Available.

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4. Locational Advantages:-

The unit is located in industrial area at Surat, where the following locational advantages are available:-

(i) Availability of Market:-

As the business will be carried on as Manufacturing of Fabrics at industrial area of Surat and will be done only on orderly and timely basis, thus removing the constraint of market availability.

(ii) Labour Supply:-

The unit is located at industrial area where lot of industrial units are working and related labour supply is easily available from industrial and nearby area.

(iii) Power Supply:-

Dakshin Gujarat Vij Company Limited (DGVCL) has already given the power supply to the unit. Additional power supply can also be made available from the Board whenever required.

(iv) Transport Facilities:-

The units is located at the industrial area of Surat City which is one of the major textiles market hub in India. All types of transportation facilities are available which are connected to other parts of the country.

(v) Infrastructure Facilities:-

The unit is located at industrial area where all the types of infrastructural facilities are available.

5. Pollution Control:-

The unit is not creating any affluent or pollution and hence pollution control measures are not required.

6. Job Process in Brief:-

The unit will do weaving of Jacquard Fabrics with the help of Shuttle Less Rapier Looms Machines as per the requirement of the Traders.

7. Market:-

The unit will do selling to various parties of Surat. Also there is very good market at Bombay and other parts of the country also. Thus there is no need to search the market.

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Implementation Schedule

Assets	Name of Supplier	Financials		Implementation Schedule	
		Amount	Payment	Status	Implementation Date
SHUTTLE LESS RAPIER LOOMS FOR WEAVING WITH ELECTRONIC JACQUARD 1536 HOOK Standard Spare Parts And Accessories Model No.: M-501120JRE-00 With Capacity of 160 METER / day (2 shifts) (Rs. 1175000 each * 2 pcs)	Orange Weaving Engineering Pvt. Ltd. (Sachin GIDC, Surat) TOTAL	2,350,000	-	Yet to be paid	01/04/2019
		2,350,000	-		



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Part:II: Feasibility & Projection**1. Cost of Project & Means Of Finance:**

(a) Cost of Project :-	Existing	New	Rs.
(1) Plant & Machinery: SHUTTLE LESS RAPIER LOOMS FOR WEAVING	-	2,350,000	
	-	<u>2,350,000</u>	2,350,000
(2) Plot of Land & House Property	-	-	-
(3) Vehicle	-	-	-
(4) Other Instruments	-	-	-
(5) Other Assets	-	-	-
(6) Margin Money on Working Capital	-	712,679	712,679
Total			<u><u>3,062,679</u></u>
(b) Means of Finance:-			
(1) Term Loan			2,232,000
(3) WCDL/CC			<u>133,000</u>
(2) Capital to be brought in			697,679
Total			<u><u>3,062,679</u></u>

2. Working Capital Requirements:

As the firm is engaged in Embroidery job work business, hence major working capital is not require.

Note: As the TUF Subsidy disbursement time not decided so not consider in means of finance but included in capital to be brought in.



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3. Primary Cost Sheet

M/S Anjanaben Harshadbhai Vaghani

Particulars	Rate Per Unit	Qty. (Units)	Amount(Rs.)
<i>Raw Materials</i>			
Material Consumption			3225600.00
RAW MATERIALS CONSUMED (A)			3225600.00
<i>Direct Labour</i>	<i>Sift</i>		
Machine Operator	2	15000	1 360000.00
Supervisor	1	20000	1 240000.00
DIRECT LABOUR EMPLOYED (B)			600000.00
<i>Other Direct Expenses</i>			
Power	12 Month	15000 P.M	180000.00
OTHER DIRECT EXPENSES (C)			180000.00
PRIME COST (D) = (A) + (B)			4005600.00
<i>Factory Expenses</i>			
Transportation Charges			120000.00
Packing Exp.			12300.00
Rent Exps.			240000.00
Repairs & Maintenance			66720.00
FACTORY OVERHEADS (E)			439020.00
WORKS COST (F) = (D) + (E)			4444620.00
<i>Administrative Expenses</i>			
Salary to Staff			60000.00
Interest on Term Loan			245520.00
Interest on Working Capital			0.00
Depreciation			352500.00
ADMINISTRATIVE EXPENSES (G)			658020.00
COST OF GOODS SOLD (H) = (F) + (G)			4663620.00
SALES (I)	4608000	2 Machines	9216000.00
Total Sales for the year			9216000.00
Net Profit Before Tax (J) = (I) - (H)			4552380.00
Taxation (K)			468895.14
Net Profit After Tax (L) = (J) - (K)			4083484.86
Depreciation (M)			352500.00
Net Cash Accruals (N) = (L) + (M)			4435984.86
Repay Obligations (O)			509808.77
Debt Service Ratio (P) = (N) / (O)			8.70
Contribution (Q) = (I) - (D)			5210400.00
Break Even Ratio (R) = [(E) + (G)] / (Q)			12.63%
Break Even Sales (S) = (I) x (R)			1163886.14

Note: Total 2 machines will use to do job work (0 old Machines + 2 New Machines)

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4. Detailed Working:

(1) Installed Capacity:-

As per technical details of machinery following capacity is available

Description of the Product	Unit	Quantity (P.a)
Manufacturing of Jacquard Fabrics	Meter	115200
		115200



Note:- Installed capacity indicates the maximum machine capacity. Capacity utilization may vary due to market constraints

(2) Capacity Utilisation:-

It is assumed that 90% to 100% capacity would be utilised as under.

Year	Capacity Utilisation (in %)	Production(Meter)
1	90	103680
2	92	105984
3	94	108288
4	96	110592
5	98	112896
6	100	115200

(3) Sales:-

As per Profitability Working Statement Total Sales Income at full Capacity would be
Rupees:- 9,216,000 Assumed increase in Sales Price for each year

Year	Sales (in meter)	Amount in 000
1	103680	8,294
2	105984	8,479
3	108288	8,663
4	110592	8,847
5	112896	9,032
6	115200	9,216

(4) Raw Material Consumption:-

As per Profitability Working Statement Total Raw Material Cost at full Capacity would be
Rupees:- 3,225,600 Assumed increase in RM Prices for each year

Year	Cosumption(%)	Amount in 000
1	90	2903
2	92	2968
3	94	3032
4	96	3097
5	98	3161
6	100	3226

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(5) Power & Fuel Cost :-

As per Profitability Working Statement Total Power Cost at full Capacity would be
 Rupees:- 180,000 Assumed increase in Fuel Prices for each year

Year	Capacity Utilisation (in %)	Amount in 000
1	90	162
2	92	166
3	94	169
4	96	173
5	98	176
6	100	180

(6) Labour Cost:-

As per Profitability Working Statement Total Labour Cost at full Capacity would be
 Rupees:- 600,000 10 % increase assumed

Year	capacity	cost	10%	Amount in 000
1	90	540	54	594
2	92	552	55	607
3	94	564	56	620
4	96	576	58	634
5	98	588	59	647
6	100	600	60	660

(7) Factory Expenses

The Factory overheads including transportation Charges, Repair & Maintenance , Electricity charges and all other Factory expenses for manufacturing the product are estimated as under and are considered to be fixed throughout the period under projection.

Rupees:- 439020 Assumed increase in this overhead for p.a. is 5%

(8) Admn & General Overheads:-

The selling and administrative overheads including postage and telephone, travelling and conveyance, consulting fees, and all other office expences for selling and administrative are estimated as under and are considered to be fixed throughout the period under projection.

Rupees:- 658020 Assumed increase in this overhead for p.a. is 3%

(9) Interest On Loans:-

Term Loan Rupees:- 2,232,000
 Rate of Interest :- 11.00%
 Amount of Interest:- 245,520

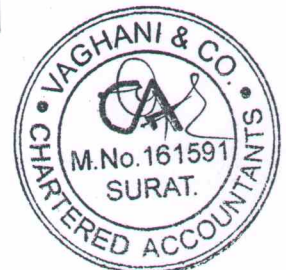
Working Capital Loan Rupees:- -
 Rate of Interest :- 11.00%
 Amount of Interest:- -



Note:- The above amounts are assumed to be fixed throughout the period under projection

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(10) Depreciation Working:-

Particulars	Rupees in' 000		
	Plant & Machinery 15%	Plots & Other Assets 0%	Total
1st Year Opening Balance	2,350	-	2,350
Depreciation	353	-	353
2nd Year Opening Balance	1,998	-	1,998
Depreciation	300	-	300
3rd Year Opening Balance	1,698	-	1,698
Depreciation	255	-	255
4th Year Opening Balance	1,443	-	1,443
Depreciation	216	-	216
5th Year Opening Balance	1,227	-	1,227
Depreciation	184	-	184
6th Year Opening Balance	1,043	-	1,043
Depreciation	156	-	156
7th Year Opening Balance	886	-	886

Rates of Depreciation are based on the prevailing depreciation rates as per Income Tax Act, 1961, to avoid ambiguity Depreciation for first year have been calculated for half year for Machinery purchased under new project. For existing machinery full depreciation is calculated.

(11) Income Tax Working:-

Year	PBT	Tax for Ind.		Rs. In' 000	
				Education Cess 3.00%	Total Tax
1	2,909.07	595.22		17.86	613.08
2	3,570.21	793.56		23.81	817.37
3	3,502.11	773.13		23.19	796.33
4	3,753.69	848.61		25.46	874.06
5	3,999.05	922.21		27.67	949.88
6	4,243.16	995.45		29.86	1,025.31

Income Tax rates are based on the prevailing rates as per Income Tax Act, 1961, applicable to individuals / proprietor firms



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(13) Interest on Term Loan:-**Loan Values**

Loan amount	2,232,000.00
Annual interest rate	11.00 %
Loan period in years	6.00
Number of payments per year	12
Start date of loan	01/04/2019
Optional extra payments	-

Loan summary

Scheduled payment	42,484.06
Scheduled number of payments	72
Actual number of payments	72
Total early payments	-
Total interest	826,852.64

Pmt No.	Payment Date	Beginning Balance	Scheduled Payment	Extra Payment	Total Payment	Principal	Interest	Ending Balance	Cumulative Interest
1	01/05/2019	2,232,000.00	42,484.06	-	42,484.06	22,024.06	20,460.00	2,209,975.94	20,460.00
2	01/06/2019	2,209,975.94	42,484.06	-	42,484.06	22,225.95	20,258.11	2,187,749.99	40,718.11
3	01/07/2019	2,187,749.99	42,484.06	-	42,484.06	22,429.69	20,054.37	2,165,320.30	60,772.49
4	01/08/2019	2,165,320.30	42,484.06	-	42,484.06	22,635.29	19,848.77	2,142,685.01	80,621.26
5	01/09/2019	2,142,685.01	42,484.06	-	42,484.06	22,842.79	19,641.28	2,119,842.22	100,262.54
6	01/10/2019	2,119,842.22	42,484.06	-	42,484.06	23,052.18	19,431.89	2,096,790.04	119,694.42
7	01/11/2019	2,096,790.04	42,484.06	-	42,484.06	23,263.49	19,220.58	2,073,526.55	138,915.00
8	01/12/2019	2,073,526.55	42,484.06	-	42,484.06	23,476.74	19,007.33	2,050,049.81	157,922.33
9	01/01/2020	2,050,049.81	42,484.06	-	42,484.06	23,691.94	18,792.12	2,026,357.87	176,714.45
10	01/02/2020	2,026,357.87	42,484.06	-	42,484.06	23,909.12	18,574.95	2,002,448.75	195,289.40
11	01/03/2020	2,002,448.75	42,484.06	-	42,484.06	24,128.28	18,355.78	1,978,320.47	213,645.18
12	01/04/2020	1,978,320.47	42,484.06	-	42,484.06	24,349.46	18,134.60	1,953,971.01	231,779.78
13	01/05/2020	1,953,971.01	42,484.06	-	42,484.06	24,572.66	17,911.40	1,929,398.35	249,691.18
14	01/06/2020	1,929,398.35	42,484.06	-	42,484.06	24,797.91	17,686.15	1,904,600.44	267,377.33
15	01/07/2020	1,904,600.44	42,484.06	-	42,484.06	25,025.23	17,458.84	1,879,575.21	284,836.17
16	01/08/2020	1,879,575.21	42,484.06	-	42,484.06	25,254.62	17,229.44	1,854,320.59	302,065.61
17	01/09/2020	1,854,320.59	42,484.06	-	42,484.06	25,486.13	16,997.94	1,828,834.46	319,063.55
18	01/10/2020	1,828,834.46	42,484.06	-	42,484.06	25,719.75	16,764.32	1,803,114.71	335,827.86
19	01/11/2020	1,803,114.71	42,484.06	-	42,484.06	25,955.51	16,528.55	1,777,159.20	352,356.42
20	01/12/2020	1,777,159.20	42,484.06	-	42,484.06	26,193.44	16,290.63	1,750,965.76	368,647.04
21	01/01/2021	1,750,965.76	42,484.06	-	42,484.06	26,433.54	16,050.52	1,724,532.22	384,697.56
22	01/02/2021	1,724,532.22	42,484.06	-	42,484.06	26,675.85	15,808.21	1,697,856.37	400,505.77
23	01/03/2021	1,697,856.37	42,484.06	-	42,484.06	26,920.38	15,563.68	1,670,935.99	416,069.46
24	01/04/2021	1,670,935.99	42,484.06	-	42,484.06	27,167.15	15,316.91	1,643,768.84	431,386.37
25	01/05/2021	1,643,768.84	42,484.06	-	42,484.06	27,416.18	15,067.88	1,616,352.66	446,454.25
26	01/06/2021	1,616,352.66	42,484.06	-	42,484.06	27,667.50	14,816.57	1,588,685.16	461,270.82
27	01/07/2021	1,588,685.16	42,484.06	-	42,484.06	27,921.12	14,562.95	1,560,764.04	475,833.76
28	01/08/2021	1,560,764.04	42,484.06	-	42,484.06	28,177.06	14,307.00	1,532,586.98	490,140.77
29	01/09/2021	1,532,586.98	42,484.06	-	42,484.06	28,435.35	14,048.71	1,504,151.63	504,189.48
30	01/10/2021	1,504,151.63	42,484.06	-	42,484.06	28,696.01	13,788.06	1,475,455.62	517,977.54
31	01/11/2021	1,475,455.62	42,484.06	-	42,484.06	28,959.05	13,525.01	1,446,496.57	531,502.55
32	01/12/2021	1,446,496.57	42,484.06	-	42,484.06	29,224.51	13,259.55	1,417,272.06	544,762.10
33	01/01/2022	1,417,272.06	42,484.06	-	42,484.06	29,492.40	12,991.66	1,387,779.66	557,753.76
34	01/02/2022	1,387,779.66	42,484.06	-	42,484.06	29,762.75	12,721.31	1,358,016.91	570,475.07
35	01/03/2022	1,358,016.91	42,484.06	-	42,484.06	30,035.58	12,448.49	1,327,981.33	582,923.56
36	01/04/2022	1,327,981.33	42,484.06	-	42,484.06	30,310.90	12,173.16	1,297,670.43	595,096.72
37	01/05/2022	1,297,670.43	42,484.06	-	42,484.06	30,588.75	11,895.31	1,267,081.68	606,992.04
38	01/06/2022	1,267,081.68	42,484.06	-	42,484.06	30,869.15	11,614.92	1,236,212.53	618,606.95
39	01/07/2022	1,236,212.53	42,484.06	-	42,484.06	31,152.12	11,331.95	1,205,060.41	629,938.90
40	01/08/2022	1,205,060.41	42,484.06	-	42,484.06	31,437.68	11,046.39	1,173,622.73	640,985.29
41	01/09/2022	1,173,622.73	42,484.06	-	42,484.06	31,725.86	10,758.21	1,141,896.87	651,743.50
42	01/10/2022	1,141,896.87	42,484.06	-	42,484.06	32,016.68	10,467.39	1,109,880.19	662,210.88
43	01/11/2022	1,109,880.19	42,484.06	-	42,484.06	32,310.16	10,173.90	1,077,570.03	672,384.79
44	01/12/2022	1,077,570.03	42,484.06	-	42,484.06	32,606.34	9,877.73	1,044,963.69	682,262.51

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